

Different levels of
development



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International aid

The forms of international trade : One policy approach towards developing economies is the provision of international aid. There are various types of aid from developed to developing economies, including different types of financial grants and loans. Sometimes the aid is bilateral aid, involving two countries, and sometimes the aid is multilateral aid, involving a number of different countries and/or agencies. Sometimes the aid is conditional or tied aid, that is, conditions are attached to the aid, and sometimes the aid is unconditional or untied aid, that is, there are no conditions attached to the aid.

- * Humanitarian assistance, for example, aid for medical reasons
- * Emergency short-term aid, for example, after a disaster
- * Food
- * Investment projects

The reasons for giving international aid

- * Countries fight diseases

- * Countries to respond to disasters and humanitarian emergencies
- * Those countries affected by a hunger crises
- * Countries to improve their health and education systems
- * To save the lives of people living in poverty around the world
- * Countries around the world to improve their infrastructure, for example, in relation to water supply

The effects of international aid: As has been indicated, international aid can help to assist the social and economic development of a country and/or help it to more effectively respond to disaster.

There have, however, been a number of problems in relation to international aid and it has been criticised as contributing towards a situation of dependency where developing countries have become, to some extent, dependent on the help of the governments of other countries and/or international agencies.

There are number of potential problems with the international aid that has been

given to developing economies, including the following:

- * Some aid has been in the form of financial support for investment projects that have been relatively unsuccessful once they have started operation.
- * There is some evidence of an element of corruption in a few countries where the aid has been concentrated in the hands of few.
- * Some aid has been counterproductive and has made a situation worse, for example, the provision of food has reduced prices, making it more difficult for the farmers to survive.
- * Some of the financial aid has involved the payment of interest, putting many countries in a state of debt.

The importance of international aid:

- * It helps the economy of the receiving country to grow
- * It helps to improve the level of employment in a country

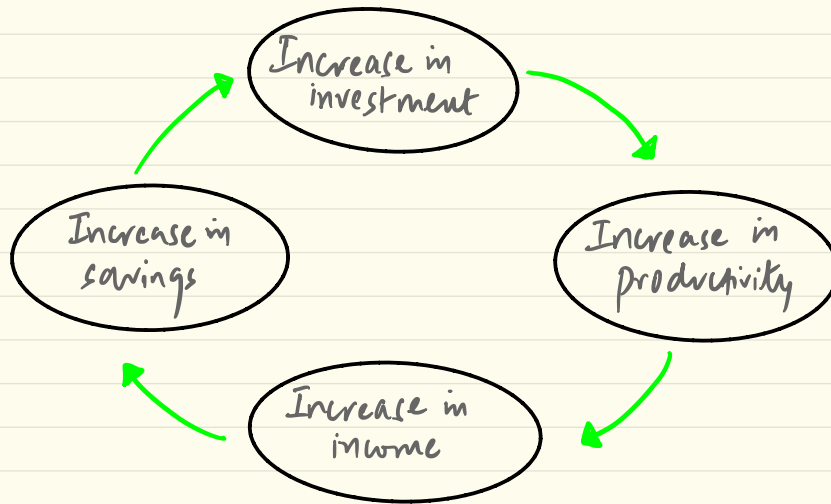
- * It helps a country to improve its balance of payments position
- * It allows for experts to come into a country to provide technical advice and assistance
- * It can save the lives of millions of people living in poverty around the world.
- * It helps to address health, education, infrastructure issues.
- * It helps to address humanitarian emergencies
- * It helps to promote international trade
- * It helps to redistribute global wealth

Trade and investment: The theory of comparative advantage shows that all countries can benefit from free trade as long as there are differences in the opportunity cost ratios of production in the different countries. International trade will therefore lead to an increase in world output and this will lead to an improvement in the standard of living and quality of life, including developing economies.

The World Trade Organisation (WTO), consisting of 164 member countries, exist to promote trade

between countries. It deals with the global rules of trade between countries and its main function is to ensure that trade flows as smoothly, predictably and freely as possible.

It will also be useful if investment is encouraged in developing economies. Investment is often relatively low in developing economies because of lack of savings (the savings ratio tends to be lower in developing economies compared with developed economies) and/or lack of financial institutions with the funds to substantially support investment. However if investment can be encouraged, with the help of developed economies and/or international agencies, it may be possible to create virtuous circle.



'A virtuous circle'

The role of multinational companies (MNCs)

The definition of multinational companies (MNCs): It is one that has facilities and other assets in at least one country other than its home country. It generally has factories and/or offices in different countries. It is not enough for a company to just sell products in other countries to be described as a multinational; it needs to actually have operations in those countries, such as factories.

The activities of multinational companies (MNCs): Investment in economies can come about through the decisions of multinational companies to locate in such countries, such as by building a factory, and this is known as foreign direct investment (FDI).

Range of activities:

- * Producing and selling goods and services
- * Exporting goods and services
- * Making significant investments in those countries
- * Buying and selling licenses.

Consequences of multinational companies (MNCs)

Advantages

- * There can be an increase in employment, creating more income and through the multiplier effect, this can lead to increase in standard of living and quality of life.
- * They can provide more choices to consumers
- * They can lead to an increase in the revenue received from taxation, such as from taxes on the profits of the multinationals.
- * The multinationals can bring technical knowledge which could lead to an increase in levels of productivity in developing economy.
- * They can contribute to an increase in economic growth

Disadvantages

- * They may use capital intensive, rather than labour intensive, methods of production, with the result that any increase in employment will be relatively small.
- * The jobs that are created may be relatively unskilled (such jobs are called screwdriver jobs).
- * Although some of the profits may be taxed by the developing economy, much of it will be repatriated to the home country and not reinvested in the local economy.
- * The operation of multinationals may lead to damage to the environment, in the form of additional pollution, and they may contribute to the further depletion of natural resources.

* If some of the output produced is exported to other countries, this could lead to an improvement in the current account of the balance of payments.

* The multinationals may attempt to influence the government of the country, giving rise to the possibility of corruption.

Foreign Direct Investment (FDI)

Definition : Investment by a firm in another country.

Consequences :

- * Foreign expertise can be an important factor in the improvement of the existing technical processes in a country.
- * It can help improve the quality of products and processes in particular sectors of an economy.
- * It can help in the creation of jobs and so reduce the level of unemployment in an economy.
- * It provides a source of external capital for a country that can improve its level of economic development.

- * It can provide a source of tax revenue to a government.

External Debt

Causes: External debt refers to the portion of a country's debt that has been borrowed from foreign lenders, including commercial banks, governments and international financial institutions.

External debt (also known as foreign debt) represents the amount that a particular country owes to other countries. It includes both public sector debt and private sector debt. It also include both short-term liabilities, for example, loans which need to be repaid in the near future, such as within one year, and long term liabilities, for example, loans which need to be repaid over a longer period of time.

- * Outstanding loans to foreign private sector financial institutions, including the outstanding interest
- * Payments due to international organisations, such as International Monetary fund (IMF)
- * Outstanding payments for a balance of payments deficit

Consequences: The existence of external debt can be a major obstacle to the economic growth and economic development of a country. The repayment of the debt, including any interest payments, can become a major burden for a country, despite the efforts of such organisations as Jubilee 2000 and Make Poverty History to cancel or reschedule the debt.

There is also an opportunity cost involved with external debt, as there is with any form of expenditure. The funds that are being used to pay the debt could have been used in other ways that would have been more productive in terms of economic development of a country, such as spending on health care and education.

The role of the International Monetary Fund (IMF): A number of international organisations have been established since 1944 to encourage free trade and to reduce the extent of protectionism in the world market. One of these is the International Monetary Fund (IMF).

The IMF was established in 1944 to promote international trade through such measures as providing financial support in the form of a loan to help a country overcome, or at least reduce, a deficit in the current account of the balance of payments.

The IMF aims to:

- * Reduce the extent of global poverty
- * Encourage international trade

- * Secure financial stability
- * Promote sustainable economic growth
- * Promote high employment
- * Foster global monetary cooperation

It achieves these aims by overseeing economic development, lending and capacity development. It has played a significant role in stabilising exchange rates and thereby facilitating international payments. It has also helped to enforce monetary discipline among its 189 member countries.

The role of the World Bank: The World Bank was established in 1944 to provide finance to countries, particularly developing economies, to help various kinds of capital investment projects. It actually consists of five agencies, of which the most important and most well-known is the International Bank for Reconstruction and Development (IBRD). It has 180 member countries.

The World Bank aims to:

- * Provide low interest loans, interest-free credit and grants to middle income and low income countries to reduce the extent of poverty.
- * Improve the health, education and infrastructure facilities of countries
- * Modernise the financial sector, agriculture and natural resources and environmental

management of different countries

The World Bank has set two goals for the world to achieve by 2030:

- * To end extreme poverty by decreasing the percentage of people living on less than \$1.90 a day to no more than 3%.
- * To promote shared prosperity by fostering the income growth of the bottom 40% for every country.

Questions

- Q1 Explain the forms of international aid? 4
- Q2 State the reasons for giving international aid? 4
- Q3 Explain the effects of international aid? 10
- Q4 State the importance of international aid? 5
- Q5 Explain the concept of trade and investment? 10
(Use a diagram)
- Q6 Define MNC's? 2
- Q7 State activities of MNC's? 3
- Q8 Explain the advantages and disadvantages of MNC's? 10
- Q9 Define FDI and state 4 consequences? 6

Q10 Define external debt, and explain its causes and consequences? 10

Q11 Explain the role of IMF and state its aims? 6

Q12 Explain the role of World Bank and state its aims? 6